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QuantumEdge Corp — Annual Report — Fiscal Year 2025

Ticker: NASDAQ: QEDG | **Publication Date:** April 8, 2026 | **Document Type:** Annual Report (FY2025)

Letter to Shareholders

By Marcus Webb, Chief Executive Officer

Dear Shareholders,

FY2025 revenue was **$28.3B (+51%)**, net income was **$4.8B**, and gross margin was **65.0%**. **QuantumCloud** exceeded expectations, generating **$1.4B in revenue** from **180,000 customers**. We also announced the **QE-Ultra GPU**, shipping in FY2026, and in **September 2025** we filed patent claims against NexaCore.

Marcus Webb Chief Executive Officer

(Source: QuantumEdge FY2025 Annual Report, Letter to Shareholders)

Business Overview

Products

Product	FY2025 Revenue / Notes
QE-Pro GPU	$16.8B
QE-Nano inference chip	$5.1B
EdgeNet Software	$4.0B (+90% YoY)
QuantumCloud Service	$1.4B; 180,000 enterprise customers; 94% gross margin
QE-Ultra (announced FY2025, ships FY2026)	1.8× improvement over QE-Pro

Market Position

NexaCore holds roughly **72%** of the AI training market; QuantumEdge holds roughly **18%**. We are not competing to be a smaller NexaCore. We are competing to be the leading open AI infrastructure platform.

Manufacturing

We use **GlobalChip** (South Korea) and have **no Taiwan supply-chain exposure**. In FY2025 we paid GlobalChip **$2.1B in capacity reservations**.

Employees

11,400 employees (up from 9,200), including **6,800 in engineering**.

(Source: QuantumEdge FY2025 Annual Report, Business Overview)

Financial Results FY2025

Metric	FY2025	FY2024	Change
Revenue	$28.3B	$18.7B	+51%
Gross Profit	$18.4B	$11.4B	+61%
Gross Margin	65.0%	61.1%	+390 bps
R&D Expense	$4.8B	$3.1B	+55%
Operating Income	$5.9B	$2.8B	+111%
Operating Margin	20.8%	15.0%	+580 bps
Net Income	$4.8B	$2.4B	+100%
EPS (diluted)	$4.24	$2.12	+100%
Free Cash Flow	$4.1B	$1.9B	+116%

Segment Revenue

Segment	FY2025 Revenue	Growth
AI Training GPUs (QE-Pro)	$16.8B	+71%
AI Inference (QE-Nano)	$5.1B	-6% (new products delayed)
EdgeNet Software	$4.0B	+90%
QuantumCloud	$1.4B	NEW
Services & Other	$1.0B	-29%
Total	**$28.3B**	**+51%**

Gross Margin Analysis

Gross margin of **65.0%** was driven by the mix shift toward **EdgeNet and QuantumCloud**, where software gross margins are approximately **89%**. We remain about **11 points below NexaCore's 76%**; the gap is explained by our hardware-heavy mix, as NexaCore has proportionally more software revenue.

(Source: QuantumEdge FY2025 Annual Report, Management Discussion and Analysis)

Risk Factors

NexaCore Competition Risk

X3 Performance Gap

NexaCore X3 represents a **3.1× improvement over X2**. QE-Ultra must achieve at least comparable improvement over QE-Pro to remain competitive.

Market Share Erosion

We risk further share erosion in the training segment.

IP Litigation Risk

Case Status

In September 2025 we filed patent infringement claims against NexaCore relating to HBM memory controller architecture (**Case No. 1:2025cv08841, Northern District of California**). The outcome is uncertain, and counterclaims are possible.

HBM Memory Allocation Risk

HBM4 Supply

QE-Ultra requires **HBM4**. NexaCore is competing for the same limited supply from **HB Memory Corp** and **ShinKwang Electronics**. QuantumEdge has secured **35%** of its estimated FY2026 HBM4 need.

QuantumCloud Churn Risk

Monthly Churn

QuantumCloud had 180,000 customers at FY2025 year-end, but **monthly churn is 2.1%**. We must sustain growth to reach software-like margins at scale.

Manufacturing Concentration Risk

GlobalChip

GlobalChip is our primary foundry. While we have no Taiwan exposure, a South Korea disruption would affect production.

(Source: QuantumEdge FY2025 Annual Report, Risk Factors)

Litigation

Patent Claims vs NexaCore

Filed **September 2025**. The claims cover **7 patents** relating to HBM memory controller and multi-chip interconnect technology. We seek injunctive relief and damages. NexaCore has denied all claims.

Class Action Dismissed

A securities class action relating to the QE-Nano delay (Q3 FY2024) was **dismissed in December 2024**.

(Source: QuantumEdge FY2025 Annual Report, Legal Proceedings)

FY2026 Outlook

Metric	Guidance
Revenue	$38–42B
Gross Margin Target	67–69%
QE-Ultra shipping	H2 FY2026
QuantumCloud customers	400,000 target

(Source: QuantumEdge FY2025 Annual Report, Outlook)